

Real Estate **Broker Match**

May 2026

Market Pulse

Real Estate, Interest Rates, Deal Flow

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May 2026 - At a Glance

Key metrics as of market close May 1, 2026 unless otherwise noted. Rate and spread data sourced from Federal Reserve, U.S. Treasury, Freddie Mac, NY Fed, and CREFC. Property market data from CBRE Q4 2025 and Q1 2026 where available, CoreLogic, Kastle, and Trepp, carried forward where Q1 2026 data is not yet available.

Metric	Value	Note	Source
Fed Funds Rate	3.50-3.75%	Unchanged; held April 29. Four dissents, most since 1992.	Federal Reserve
SOFR	3.66%	Down 2 bps since April 1	NY Fed, April 30
2-Year Treasury	3.88%	Up 7 bps since April 1	U.S. Treasury, May 1
10-Year Treasury	4.372%	Up 4.5 bps since April 1	U.S. Treasury, May 1
30-Year Treasury	4.961%	Up 5 bps since April 1	U.S. Treasury, May 1
30-Year Fixed Mortgage	6.30% (Apr 30)	Down 8 bps from March 26 reading; mid-6% range persistent	Freddie Mac
CMBS AAA Spread	S+75 bps	Tightened from S+80 in early April	CREFC, late April 2026
CMBS BBB-Spread	S+440 bps	Tightened from S+450 in early April	CREFC, late April 2026
CRE Transaction Volume	Active but bifurcated	\$3.6B in SASB priced in one week; REIT M&A accelerating	CREFC, public filings
Office Vacancy (National)	18.6%	Down 10 bps QoQ; prime vacancy fell to 12.7%	CBRE Q1 2026
CMBS Office Delinquency	11.71%	Up 51 bps from Feb; below Jan all-time high of 12.34%. 40% of newly delinquent were performing matured balloons.	Trepp, March 2026
Office Utilization (Kastle)	54.9%	Down 2 pts from 56.9%; 10-city weekly average	Kastle, April 1, 2026
Industrial Vacancy	6.7%	Stable; leasing up 14% YoY in Q1. Data center demand one of the clearest bright spots in industrial construction.	CBRE Q1 2026
Industrial Rent Growth	Positive QoQ (Q1)	Rent growth returned for first time since 2024; regional rents rising in Southeast	CBRE Q1 2026
Multifamily Vacancy	7.3% (Census/NAHB)	Record high as of Dec 2025. CBRE institutional measure fell to 4.8% in Q1, showing stabilization.	CoreLogic / CBRE Q1 2026
Multifamily Rent Growth	+0.2% YoY / +0.4% QoQ	CBRE institutional measure; SF rents up 3% YoY in Q1; NYC remains tight	CBRE Q1 / Kidder Mathews

Hospitality RevPAR	+3.8% YoY (Q1)	Luxury/upper-upscale leading; SF +31% on AI corporate travel; HST +43.32% 1-year	CBRE Q1 2026 / STR
Credit Stress Watch	Elevated	Office CMBS delinquency at 11.71%. CMBS spreads tightened but maturity-driven delinquencies rising.	Trepp / CREFC / Fed

Key Takeaways

The defining event of the past month was not a single data point but a convergence: the Fed leadership transition, an escalating energy crisis, and a credit market that is simultaneously tightening and functioning. The result is maximum uncertainty at the exact moment CRE borrowers need clarity.

The Fed is changing hands into the most complex macro environment since 2022. The April 28-29 FOMC held rates at 3.50-3.75% with four dissents, the most since October 1992. Three members voted to remove the easing bias from the statement, signaling that a meaningful faction of the committee no longer views rate cuts as the next move. Powell confirmed he will step aside on May 15. Kevin Warsh cleared the Senate Banking Committee on April 29 in a 13-11 party-line vote and the full Senate is expected to vote the week of May 11. The new chair inherits an inflation problem he cannot easily cut into.

The Gulf energy shock deepened, not improved. The Strait of Hormuz remains closed. Brent crude traded in the \$100-126 range through April. President Trump announced "Project Freedom," an operation to help guide stranded commercial ships out of the Strait beginning May 4, introducing new escalation risk. Fed officials have noted that even if the Strait reopened immediately, it would take six months for supply chains to normalize. Headline PCE jumped to 3.5% YoY in March, up from 2.8% in February. Core PCE is at 3.2%, well above the Fed's 2% target.

The rate picture barely moved, and that is the problem. The 10-year Treasury edged up 4.5 bps to 4.372%. The 30-year mortgage dipped slightly to 6.30%. Futures markets and major brokerages have largely removed 2026 rate cuts from the base case. For CRE borrowers, rates stuck at elevated levels with no visibility on when they come down is worse than a spike, because a spike creates urgency while stagnation creates paralysis.

Credit markets stabilized on the surface, but stress continues underneath. CMBS conduit spreads tightened at both AAA (to S+75) and BBB- (to S+440). \$3.6 billion in SASB transactions priced in a single week. But Trepp's office CMBS delinquency rate rose 51 bps in March to 11.71%, and 40% of newly delinquent loans had been performing matured balloons the prior month, a direct signal that the maturity wall is converting performing loans into problem loans.

The REIT scorecard tells a recovery story with clear exceptions. Every REIT posted a positive 1-month return. But the 6-month and 1-year columns reveal where structural conviction sits. Host Hotels leads at +43.32% over one year, driven by luxury RevPAR recovery and group demand. Data centers (EQIX +30.36%, DLR +16.71% over 6 months) remain the highest-conviction sector. Retail quietly outperforms: SPG +25.85% and REG +8.51% on the 1-year. Office remains the laggard, though improving. The alt manager complex rallied sharply on the 1-month (Apollo +22.95%), a positive signal for CRE capital availability.

Market Overview

Treasury Rates - Change Since April 1, 2026

Rate	April 1	May 1	Change
SOFR	3.68%	3.66%	-2 bps
2-Year Treasury	3.807%	3.88%	+7 bps
10-Year Treasury	4.327%	4.372%	+4.5 bps
30-Year Treasury	4.910%	4.961%	+5 bps
30-Year Fixed Mortgage	6.38% (Mar 26)	6.30% (Apr 30)	-8 bps

Current Fed Funds Rate: 3.50%-3.75%

Key Takeaway: Rates Are Stuck, Not Spiking

Last month the story was a sharp rate reversal. This month the story is worse in a quieter way: rates barely moved, but the expectation of relief has been removed entirely. The curve edged higher across all maturities, the 30-year mortgage dipped modestly on spread compression, and futures markets and major brokerages have largely removed 2026 rate cuts from the base case. For CRE borrowers, a rate spike creates urgency. Rates stuck at elevated levels with no visibility on when they come down creates paralysis.

The Gulf Energy Shock - Month Three

The Strait of Hormuz remains functionally closed. Iran has maintained its blockade as leverage to end the war, while the US continues its blockade of Iranian ports. Brent crude traded in the \$100-126 range through April, briefly touching \$126 per barrel on May 1, a four-year high, after peace talks hit an impasse.

On May 3, President Trump announced "Project Freedom," an operation to help guide stranded commercial ships out of the Strait beginning May 4. Iran's parliament warned that any interference in the Strait's maritime regime would be considered a violation of the ceasefire. This introduces significant escalation risk.

The supply picture is getting worse. Exxon's CEO warned on the Q1 earnings call that the market has not absorbed the full impact of the disruption. Buffers, including tankers in transit, strategic petroleum reserves, and commercial inventories, are being exhausted. Exxon estimated 750,000 barrels per day of its own production has been impacted. OPEC+ agreed on May 3 to raise output targets by 188,000 barrels per day in June, but the incremental supply is marginal relative to the disruption. The UAE departed OPEC effective May 1.

Fed officials have noted that even if the Strait reopened today, it would take six months for global supply chains to normalize. The energy shock has locked in persistent inflation for at least the next two quarters regardless of the diplomatic outcome.

For CRE, the transmission is now multi-layered. Higher energy costs are pushing up operating expenses directly. They are compressing tenant margins, particularly in retail where consumers are trading down. They are keeping inflation elevated, which keeps rates elevated, which keeps the

refinancing math broken. And they are introducing uncertainty into forward NOI projections for any asset class sensitive to consumer spending or travel budgets.

The Inflation Picture

March inflation data confirmed what the energy shock made inevitable. Headline CPI rose 3.3% year-over-year, the fastest pace since mid-2024, with gasoline accounting for most of the monthly increase. Core CPI was calmer at 2.6%. But the Fed's preferred core PCE measure remained elevated at 3.2% YoY, so the inflation problem is not purely an energy story. Headline PCE jumped to 3.5% year-over-year, up from 2.8% in February.

A survey of Texas businesses found firms expecting input prices to increase 3.9% and selling prices only 2.8% over the next 12 months, a direct margin squeeze that applies to CRE tenants and operators alike. Minneapolis Fed President Kashkari, one of the three hawkish dissenters at the April FOMC, cautioned that if energy-driven inflation persists, the Fed may be forced to raise rates rather than cut them.

The April 28-29 FOMC Meeting

The Fed held rates at 3.50-3.75%. The statement described inflation as "elevated" and explicitly cited Middle East developments as contributing to "a high level of uncertainty." U.S. real GDP grew at a 2.0% annualized rate in Q1, rebounding from 0.5% in Q4.

The real story was the dissents. Four members voted against the decision, the most since October 1992. Governor Miran voted for a 25 bps cut, his sixth consecutive dovish dissent. More significantly, Hammack, Kashkari, and Logan supported maintaining the rate but dissented because they did not support the "easing bias" in the statement. If the easing bias is removed, markets will read it as the Fed officially closing the door on cuts, even without a rate change.

Powell confirmed he will step aside as chair on May 15 but remain on the Board of Governors. This was his final press conference as chair.

The Warsh Transition

Kevin Warsh cleared the Senate Banking Committee on April 29 in a 13-11 party-line vote. The full Senate is expected to vote during the week of May 11, targeting confirmation before Powell's May 15 departure. With Republicans holding 53 seats and Senator Fetterman (D-Pa.) indicating he will vote in favor, confirmation is widely expected.

The path was cleared when the DOJ dropped its criminal investigation into Powell. Senator Tillis, who had been blocking the nomination, released his hold.

At his April 21 hearing, Warsh called for a "regime change in the conduct of policy" on inflation, argued that the Fed's balance sheet is too large and has distorted price signals, and said monetary policy independence is "essential." He signaled a preference for a smaller, more focused Fed.

For CRE, the Warsh transition matters in three ways. First, he is generally viewed as more open to rate cuts than Powell over time, but the current inflation environment constrains him just as it would any chair. Second, his focus on shrinking the Fed's balance sheet could put additional upward pressure on long-term rates. Third, the June 16-17 FOMC meeting would be his first as chair, and his initial statement and dot plot will set the tone for the second half of 2026.

Capital Markets

Lending: Stabilized but Not Improving

The credit environment presented a paradox in April: new deal pricing improved while the legacy loan book continued to deteriorate. CMBS conduit spreads tightened at both AAA (from S+80 to S+75) and BBB- (from S+450 to S+440). Life company 10-year quotes narrowed to roughly 170 bps at 50-65% LTV. The securitized market priced \$3.6 billion across five transactions in a single week, demonstrating that capital is available and investors are buying.

But Trepp's office CMBS delinquency rate rose 51 basis points in March to 11.71%. 40% of newly delinquent loans had been performing matured balloon loans the prior month. The maturity wall is actively converting performing loans into delinquent ones. Regional banks reported a slight increase in nonperforming loans and have tightened credit standards.

The 30-year mortgage dipped to 6.30%, with purchase applications running more than 20% above a year ago per Freddie Mac, suggesting borrower demand is adapting to the mid-6% reality. The spread between the 10-year Treasury and the 30-year mortgage compressed to roughly 193 bps, tighter than typical for a period of elevated credit stress. The compression reflects strong secondary market demand from the GSEs and robust purchase activity, even as commercial credit markets show strain. The MBA projects \$806 billion in commercial mortgage origination for 2026, up 27% from 2025.

What Each Lender Type Is Doing

- **Banks:** Still defensive, tightening standards further. Private credit firms like Peachtree Group (\$3B originated in 2025) and 3650 Capital (\$2.1B) are stepping into gaps.
- **Agencies (Fannie/Freddie):** Most reliable multifamily capital source. Fannie Mae DUS volume rose 33% quarter-over-quarter through late 2025.
- **Life Companies:** Competing aggressively for the best assets. Tightest pricing in the market at ~170 bps for qualifying deals.
- **Debt Funds / Private Credit:** Deep capital for new quality deals, but "fatigued capital" pulling back from existing underperformers. The "liquidity paradox."
- **CMBS:** Spreads tighter, issuance strong. SASB AAA spreads ranged from +93 to +130 depending on property type, down from +115 to +184 in March. The market can price new paper but cannot solve loans underwritten at 2021-2022 values.

Alternative Asset Manager Performance

Firm	Ticker	1-Month	6-Month	1-Year
Blackstone	BX	+12.57%	-12.51%	-7.17%
KKR	KKR	+13.87%	-11.86%	-9.68%
Apollo	APO	+22.95%	+5.25%	-2.63%
Ares	ARES	+15.72%	-23.47%	-25.98%

Market close May 1, 2026. Source: Google Finance.

All four posted strong monthly rallies (12-23%), a meaningful shift from April's severe declines. The rally may appear at odds with the macro backdrop of historic Fed dissent and an escalating energy crisis, but the more likely explanation is that valuations had gotten so beaten down (15-32% over 6 months in the April issue) that Q1 earnings coming in better than feared triggered a relief bounce, amplified by a broader equity market rally. Apollo is the standout, the only name positive on the 6-month and nearly flat on the 1-year. Ares remains the laggard. The improvement matters for CRE capital availability: when alt manager stocks recover, cost of equity declines and deployment pace can accelerate. The test is whether this bounce holds through Q2 earnings or proves to be a short-lived relief rally in a continuing repricing.

Transaction Volume: Active and Diversifying

April saw notably stronger deal flow. Late-April SASB activity included a \$1.28 billion industrial refinancing backed by 90 FedEx/Amazon-leased properties at 96.3% occupancy, a \$1.1 billion multifamily-concentrated CRE CLO from Bridge Investment Group, a \$712.5 million Shops at Crystals refi for Simon/Invesco with a \$190 million equity cash-out, a \$250 million mall refi for Brookfield/GGP, and a \$240 million self-storage portfolio refi.

REIT M&A accelerated: Ares agreed to acquire Whitestone REIT (April 9), Blue Owl agreed to acquire Sila Realty Trust (April 20). Both represent alt managers taking public REITs private.

Other notable transactions: Vornado acquiring 49% of Park Avenue Plaza at \$1.1 billion, Amazon leasing 1.2 million SF industrial near Phoenix, Blackstone/Link Logistics buying a Boynton Beach industrial portfolio. Newmark reported closing over \$12.5 billion in senior housing transactions YTD, noting it is outperforming nearly all other CRE sectors.

Previously Announced Deals - Status Check

Savills' \$1.1B acquisition of Eastdil Secured remains pending, with completion expected Q2/Q3 2026.

Public Storage's \$10.5B acquisition of National Storage Affiliates remains on track for Q3 2026 close, with management targeting \$110-130M of annual run-rate synergies.

REIT Performance Scorecard

Data as of market close May 1, 2026. Source: Google Finance.

REIT	Ticker	Sector	1-Mo	6-Mo	1-Yr
Vornado	VNO	Office (New York City)	+18.29%	-19.94%	-18.38%
BXP Inc	BXP	Office (Gateway Markets)	+14.39%	-15.92%	-8.29%
AvalonBay	AVB	Multifamily (Coastal Markets)	+10.20%	+4.61%	-12.65%
Equity Residential	EQR	Multifamily (Urban Apartments)	+8.51%	+10.31%	-7.99%
Prologis	PLD	Industrial (Logistics / Warehouses)	+6.85%	+13.84%	+34.25%
Rexford Industrial	REXR	Industrial (SoCal Infill)	+9.16%	-14.10%	+3.80%

Simon Property	SPG	Retail (Shopping Malls)	+6.42%	+14.59%	+25.85%
Regency Centers	REG	Retail (Grocery-Anchored)	+2.64%	+14.13%	+8.51%
Equinix	EQIX	Data Centers (Global Colocation)	+6.85%	+30.36%	+22.93%
Digital Realty	DLR	Data Centers (Wholesale / AI)	+10.28%	+16.71%	+20.44%
Host Hotels	HST	Hospitality (Luxury Hotels)	+9.93%	+31.06%	+43.32%

The 1-month column shows a broad equity rally: every name positive. The 6-month and 1-year columns reveal structural conviction.

Hospitality is the breakout. HST leads at +43.32% on the 1-year. The outperformance is not a generic lodging rebound. U.S. hotel RevPAR rose 3.8% year-over-year in Q1 per CBRE, with San Francisco leading the country at +31% driven by AI-sector corporate travel. HST's portfolio is concentrated in luxury and upper-upscale assets where affluent leisure demand, group/convention recovery, and food-and-beverage spending are driving stronger Total RevPAR. Roughly 40% of Host's revenue comes from out-of-room sources. The company entered 2026 with 4.1 million definite group room nights on the books, up 16%. Hyatt and Hilton both raised their 2026 RevPAR outlooks, confirming the luxury trend. The risk is energy: the Travel Price Index rose 5.8% in March with gas up 19.2% and airfares up 14.9%, pressuring budget travel more than the high end. HST reports Q1 on May 6.

Data centers remain the highest-conviction sector. EQIX at +30.36% and DLR at +16.71% on the 6-month. DLR improved from +3.86% last month, suggesting sentiment broadening into wholesale and hyperscale.

Industrial bifurcation persists. PLD at +34.25% 1-year versus REXR at -14.10% 6-month, a nearly 28-point gap. The market rewards scale, logistics positioning, and power access over regional infill.

Retail is the quiet outperformer. SPG +25.85% and REG +8.51% on the 1-year. Energy-driven consumer trading down to necessities benefits grocery-anchored and essential retail.

Multifamily flipped positive. AVB (+4.61%) and EQR (+10.31%) both positive on the 6-month after being negative in April. The equity market signals the worst of the supply overhang is behind.

Office improved but remains the structural laggard. VNO and BXP posted the strongest 1-month returns (+18.29% and +14.39%) but remain deeply negative on 6-month and 1-year.

What Refinancing Actually Looks Like Right Now

The refi math from last month still applies. The 10-year is marginally higher at 4.372%, the mortgage dipped to 6.30%. The net effect is roughly neutral.

	2022 (Original Loan)	2026 (Refi Today)
Property NOI	\$2,000,000	\$2,000,000
Cap Rate / Value	5.0% / \$40,000,000	6.25% / \$32,000,000

Loan Amount (65% LTV)	\$26,000,000	\$20,800,000
Interest Rate	3.75% (fixed)	6.25% (fixed)
Annual Debt Service	\$1,445,000	\$1,537,000
DSCR	1.38x	1.30x
Equity Required at Refi	-	~\$5,200,000 cash-in

Note: Both scenarios assume 30-year amortization. Figures simplified for illustrative purposes.

The core dynamic is unchanged: cap rate expansion plus higher debt costs equals smaller loan proceeds on the same asset. What has changed is the timeline. Futures markets and major brokerages have largely removed 2026 rate cuts from the base case. The sell-versus-hold decision is no longer about timing the rate cycle. It is about whether your asset can generate enough cash flow at current rates and values to justify the equity injection.

What's Working / What's Not

Working	Not Working
Data Centers and Power-Ready Sites One of the clearest bright spots in nonresidential construction. EQIX +30.36% over 6 months. NoVA land exceeding \$4M/acre. Oracle expanding into Michigan. Electrician wage wars in Chicago. Memory chip shortage from AI expansion.	Non-Prime Office (Class B/C) CMBS delinquency at 11.71%, near record. 40% of new delinquencies from matured performing balloons. Kastle at 54.9%. Atlanta demolishing obsolete stock. SF "largely stagnant." Six Fed Districts reporting AI-driven headcount reductions.
Trophy Hospitality HST +43.32% over 1 year. RevPAR up 3.8% in Q1. SF +31% on AI corporate travel. 4.1M group room nights booked, up 16%. FIFA World Cup adding +0.4% RevPAR lift.	Discretionary and Energy-Sensitive Retail Consumers trading down. Fewer shopping trips. Cash-to-credit shift in NYC. Retailers unable to pass through costs. Energy shock accelerating structural rationalization.
Prologis-Quality Industrial PLD +34.25% over 1 year. Vacancy declining in Atlanta and Kansas City. Rents rising in Southeast. \$1.28B MTN SASB at 96.3% occupancy.	Generic Value-Add "Hope trades" failing. Lenders underwriting to current cash flow only. GP-led recaps and continuation funds replacing traditional exits.
Grocery-Anchored and Essential Retail REG +14.13% and SPG +14.59% over 6 months. Consumer trading-down reinforcing essential thesis. Shops at Crystals \$712.5M refi with \$190M cash-out.	Rexford-Type Industrial (Regional Infill) REXR -14.10% over 6 months vs PLD +13.84%. Philadelphia warehouse availability increasing. Market rewarding scale over infill.
NYC Class A Office Vornado acquiring 49% of Park Avenue Plaza at \$1.1B. Sublease space declining. Finance and AI firms driving leasing. On Location: largest LA office lease of 2026.	Large-Scale Institutional SFR (350+ homes) ROAD to Housing Act Section 901 still in play. Build-to-rent carve-outs contested. Urban Institute: 72,000 fewer rental units/yr if enacted as written.
Senior Housing \$12.5B in transactions YTD per Newmark. Outperforming nearly all other CRE sectors. Demographics, limited supply, improving operations.	Weakening Pockets in Multifamily Richmond vacancies increasing, prices declining. Sun Belt concessions widespread. But Atlanta improving and equity market (AVB, EQR) signaling worst is past.

Self-Storage

PSA/NSA \$10.5B merger on track for Q3 close.
Prime Storage \$240M SASB refi. Institutional consolidation continuing.

The AI Disruption: What It Means for Real Estate

The displacement thesis is no longer hypothetical. It is showing up in Federal Reserve data across six districts.

Boston: healthcare and life sciences layoffs attributed to AI. **New York:** reduced demand for entry-level routine tasks. **Kansas City:** back-office staff optimization. **Minneapolis:** office admin, accounting, and creative workers waiting longer for placements. **San Francisco:** GenAI used to reduce costs and pause hiring. **Atlanta:** firms reporting AI has already replaced headcount.

The pattern is consistent: AI is not causing mass layoffs, but it is reducing new hiring, eliminating entry-level and back-office positions, and allowing firms to avoid adding headcount. The net effect on office demand is negative in aggregate.

The leasing paradox remains. AI firms are leasing space in SF and NYC, including a significant Supermicro lease in San Jose. But these deals are smaller with shorter terms. A company simultaneously expanding AI operations and reducing non-AI headcount is not necessarily leasing more total space.

Many businesses are adopting a "wait-and-see" posture on permanent hiring, opting for temporary or contract workers. If this becomes structural rather than cyclical, the implications for both office and multifamily demand are significant. Temporary workers do not generate the same rental demand as permanent employees with stable incomes.

The data center side continues to accelerate. AI infrastructure expansion is one of the strongest drivers of nonresidential construction activity, with the Beige Book highlighting strength in industrial properties tied to data center demand across multiple regions. "Insatiable" electricity demand, \$4M/acre land prices in Northern Virginia, electrician wage wars, and a global memory chip shortage are all tied to the AI buildout.

Notable Deal of the Month

Real Brokerage to Acquire RE/MAX - Residential Brokerage Consolidation Accelerates

Real Brokerage agreed to acquire RE/MAX Holdings in a transaction implying an enterprise value of approximately \$880 million, creating Real REMAX Group. The combined company would support more than 180,000 agents across over 120 countries, with pro forma 2025 revenue of approximately \$2.3 billion and \$157 million of adjusted EBITDA before synergies. Closing is expected in the second half of 2026.

This is not just a brokerage buying another brokerage. Real brings a cloud-native technology platform. RE/MAX brings one of the most recognized residential brands in the world, nearly 8,500 offices, 145,000+ agents, and Motto Mortgage. The combined platform spans brokerage, franchising, mortgage, title, and ancillary services.

Last month we highlighted Savills' acquisition of Eastdil Secured on the commercial side. This month, consolidation has reached residential brokerage. The pattern is consistent: the entire advisory and brokerage landscape is reorganizing around scale, technology, and control of the transaction stack. For referral and broker-matching businesses, the read-through is straightforward: trusted broker distribution is becoming more valuable, not less.

The Expense Shock Reality

The story here is consistent with last month, and the consistency is the point. Insurance, property taxes, and now energy-driven operating costs are structural, not cyclical.

Insurance premiums continued to climb across most Fed Districts with no signs of abating. In Atlanta, insurance costs rise alongside land costs even as some materials have stabilized. In San Francisco, increases show no signs of slowing. In New York, rising insurance is beginning to restrain spending among working-class consumers, a downstream effect on retail revenues.

Property taxes remain a barrier. In Providence, high taxes combined with proposed rent control are holding back new multifamily development, a concrete example of how the expense shock suppresses future supply. In Cleveland, rising property taxes have driven increased demand for foreclosure prevention services.

The energy shock adds a third layer. Higher oil prices push up utility costs, transportation costs for maintenance and supplies, and operating costs across every property type. Texas businesses expect input costs to rise 3.9% while selling prices rise only 2.8%, a margin squeeze that affects tenants and landlords alike.

The math from April holds: a \$350,000 annual increase in combined insurance and taxes erases approximately \$5.8 million in property value at a 6% cap rate. That math is now being compounded by energy-driven cost increases that affect every line item.

The 2026 Maturity Wall

The three patterns from last month remain, but "operator reality" is setting in.

Quality assets are getting refinanced. The \$1.28B MTN industrial SASB, the \$712.5M Shops at Crystals refi, the \$250M GGP mall refi, all priced in a single week. Life companies offer 170 bps for the right deals. But "functioning for quality" is not "functioning for everyone."

The "hope trade" is failing. Owners who extended loans betting on rate relief by mid-2026 are losing that bet. Futures markets and major brokerages have largely removed 2026 rate cuts from

the base case. Industry participants describe a shift from simple extensions to more aggressive restructuring. GP-led recapitalizations and continuation funds are becoming a prominent feature of deal flow.

The maturity wall is converting performing loans into delinquent ones. 40% of newly delinquent CMBS loans in March were performing matured balloons the prior month. Office CMBS delinquency rose 51 bps to 11.71%. The broader CMBS rate rose to 7.55%. The Dallas Fed expects loan performance to worsen in the coming months, suggesting the peak of the workout cycle may still be ahead.

Distress is resolving through multiple channels. Atlanta is demolishing obsolete office properties, removing supply rather than waiting for demand. GP-led recaps are replacing traditional sales. Industry experts warn that "good intentions" during workouts can walk borrowers into recourse situations. Regional banks are tightening standards.

Housing and Rents

Note: Q4 2025 data carried forward where Q1 2026 figures are not yet available.

Multifamily: The broad Census/NAHB vacancy measure remains at a record 7.3%, but CBRE's institutional multifamily measure fell to 4.8% in Q1, down 20 bps, showing stabilization in professionally managed assets. The picture is evolving. Atlanta is actually improving, with declining vacancies and rising rents, though concessions remain common. Dallas and Austin absorption is positive but concessions widespread. NYC remains exceptionally tight. SF rents rose 3% YoY in Q1 per Kidder Mathews, though broader Twelfth District demand has slowed. Richmond is a new pocket of weakness with increasing vacancies and declining prices. Minneapolis saw healthy demand with subdued construction helping lower vacancy. Both AVB (+4.61%) and EQR (+10.31%) flipped positive on the 6-month.

Single-Family and Build-to-Rent: Mortgage lock-in continues to suppress resale inventory and support rental demand. The ROAD to Housing Act's Section 901, if enacted, could constrain institutional BTR activity, though the provision is being actively contested.

Office: NYC Class A continues its recovery. Vornado committed \$1.1B to Park Avenue Plaza. Supermicro signed a major San Jose lease. On Location signed the largest LA office lease of 2026. Nationally, 18.6% vacancy (down 10 bps in Q1, with prime vacancy falling to 12.7%) and Kastle at 54.9% reflect a bifurcated reality. Office CMBS delinquency at 11.71%. Six Fed Districts report AI-driven headcount impacts.

Retail: Grocery-anchored and essential retail well-positioned, with REG and SPG solidly positive. Consumer trading-down reinforces the essential thesis. Discretionary retail continues its structural rationalization, now accelerated by energy-driven margin compression.

The ROAD to Housing Act - What Owners Should Be Watching

The bill passed the Senate 89-10 on March 12. As of May 3, it is stalled in House reconciliation. No formal House action since March 16, beyond an April 22 bipartisan letter from House members urging Section 901 revisions.

The Core Fight: Section 901 would restrict entities controlling 350+ single-family homes from purchasing additional properties. The problem: the Senate's definition of "purchase" captures not just acquisitions of existing homes but also new construction. The seven-year divestiture requirement could "effectively halt" build-to-rent production. The Urban Institute estimates 72,000 fewer rental units built per year if enacted as written.

The most likely outcome is a compromise that narrows restrictions to existing-home acquisitions while protecting BTR and new construction.

For SFR Operators: If your portfolio is approaching or above 350 homes, monitor this closely. The political direction is bipartisan and clear. Understanding the provisions and carve-outs now puts you in a better position to respond.

When Selling Makes Sense

Sell If:

- Loan maturity within 12-18 months and the refi math requires equity injection. The numbers stayed flat, which with zero rate cuts expected, means they effectively got worse.
- Asset needs major CapEx and you cannot execute.
- You are a passive or out-of-market owner in a sector requiring active management.
- You own a bid-worthy asset where buyers are competing: data centers, strong industrial, trophy hospitality, grocery-anchored retail, senior housing.
- You are in oversupplied Sun Belt multifamily with widespread concessions.
- Your office asset lacks a repositioning path outside NYC, Dallas, or an AI-adjacent market.
- Your "hope trade" was built around mid-2026 rate cuts. That trade has failed.
- Your exit strategy assumed a rapid return to stable energy prices. The UAE's departure from OPEC, the continued Strait closure, and "Project Freedom" escalation risk have all moved against that assumption.

Hold If:

- Long-dated, low-cost debt is locked in.
- Your asset is in a supply-constrained market with improving fundamentals.
- You have operational excellence to navigate the triple expense shock.
- Your submarket shows genuine recovery signals: unsolicited bids, rising velocity, improving absorption.
- You own luxury hospitality where RevPAR recovery is running ahead of the market.

If You Have a Loan Maturity in the Next 12-18 Months:

- Get a broker opinion of value now.
 - Ask your lender what they require to refinance at current rates and values.
 - Confirm insurance renewal and property tax reassessment risk.
 - Understand the legal implications of any modification. Workouts can inadvertently create recourse.
 - Do not assume private credit terms from six months ago are available today.
 - Have a backup plan that does not depend on rate relief.
-

Three High-Impact Actions for Owners Holding Through 2026

1. **Accept the "No Cuts" Baseline and Rebuild Your Model Around It**

Higher-for-longer is not a stress test. It is the base case. Rebuild your operating model, refinancing assumptions, and return projections around the current rate environment persisting through year-end.

2. **Price the Triple Expense Shock Into Your Forward NOI**

Insurance, property taxes, and energy costs are all running above general inflation. If your forward NOI does not include 5-10% annual increases in insurance, a realistic tax reassessment, and higher utility and maintenance costs, it is too optimistic.

3. **Engage Your Lender Before Your Lender Engages You**

40% of newly delinquent CMBS loans in March were performing matured balloons the prior month. Do not wait for maturity. Have the conversation now, understand terms, identify alternatives, and know the legal implications before you agree to anything.

A Note From REBM: The Case for Specialist Brokers in a Consolidating Industry

The brokerage industry itself is consolidating. Real Brokerage's acquisition of RE/MAX, combined with Savills' pending acquisition of Eastdil Secured, signals that the advisory landscape is reorganizing around scale, technology, and platform control.

In this environment, broker selection matters more, not less. The specialist who knows the active buyers in your submarket, understands current underwriting, and can tell you what your asset is actually worth today is not a commodity.

Buyer depth is uneven. In many markets, credible buyers for a given asset type can be counted on one hand.

Pricing reality has shifted. Spreads tightened but office delinquency rose, matured balloons are defaulting, and rate cuts are off the table. The broker who tells you what you need to know costs less than the one who tells you what you want to hear.

Timing creates leverage. The maturity wall is forcing more dispositions. Sellers who choose their timing are in a stronger position. The window to act proactively remains open but the clock is running.

If you are evaluating a sale, refinance, or hold decision over the next 6-12 months, REBM can connect you with brokers who specialize in your property type and market. Visit RealEstateBrokerMatch.com or call **(800) 841-5033**.

What We're Watching Next

Fed Leadership Transition: Warsh full Senate vote expected week of May 11. Powell's term expires May 15. June 16-17 FOMC would be Warsh's first meeting as chair.

HST Q1 Earnings: Host Hotels reports May 6, call May 7. Top REIT scorecard performer. Watch for group booking trends, energy cost impact, international travel commentary.

Strait of Hormuz and Project Freedom: Operation to guide stranded ships begins May 4. Iran has warned it would violate the ceasefire. Watch for incident, escalation, or diplomatic progress. Even partial reopening could shift the rate/inflation picture. Military escalation would do the opposite.

ROAD to Housing Act: Stalled in House reconciliation. April 22 letter demanding Section 901 revisions is the key development. Watch for committee action or floor scheduling.

Key Dates - May and June

Date	Event
May 6	Host Hotels Q1 earnings
May 7	HST earnings call; Freddie Mac PMMS
Week of May 11	Expected Warsh confirmation vote
May 12	April CPI
May 15	Powell's term as Fed Chair expires
May 28	April PCE
June 5	May Employment Report
June 10	May CPI
June 16-17	FOMC Meeting

Oil and OPEC+: OPEC+ raising output 188K bpd in June. UAE departed OPEC May 1. Watch whether incremental supply provides relief or Strait closure overwhelms it.

Alt Manager Q2 Earnings (July): Will the 1-month stock rally hold? Listen for CRE deployment pace, fundraising, and portfolio markdowns.

ECB and Bank of England: European tightening in response to energy shock could strengthen the dollar and add indirect upward pressure on U.S. rates.

Key Terms and Acronyms

All terms from the April 2026 issue are carried forward. New additions for May:

Project Freedom: An operation announced by President Trump on May 3, 2026, to help guide stranded commercial ships out of the Strait of Hormuz beginning May 4. Iran has warned that the operation would violate the existing ceasefire.

Total RevPAR: Revenue per available room inclusive of all on-property spending (food and beverage, spa, golf, banquet, parking, etc.), not just room revenue. A more comprehensive measure of hotel performance than traditional RevPAR, particularly relevant for full-service and luxury hotels where out-of-room revenue can represent 30-40% or more of total revenue.

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